Harvard Business School Online

Module 2: Crafting a Digital Marketing Plan

Module Takeaways

The key takeaways in this module include:

- Using key strategic considerations to create a digital marketing plan
- Setting relevant, obtainable, and measurable marketing goals
- Determining target audiences and understand their important characteristics
- Crafting a compelling value proposition statement
- Understanding the role metrics play within a marketing plan

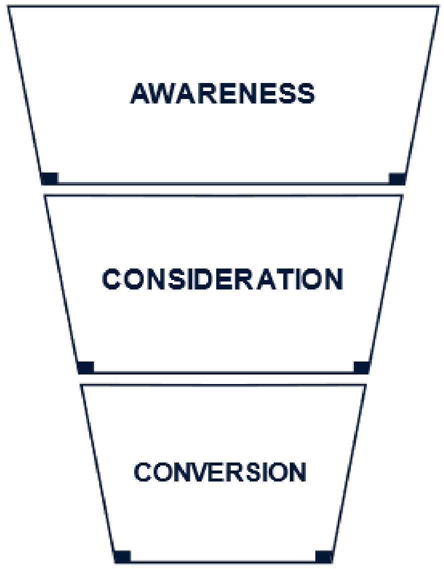
The Four Components of a Marketing Plan

Goals/Objectives	The broader outcomes you hope to achieve (for example, increase brand awareness, double sales)
Target Audience	The group of consumers that will be the focus of your marketing campaign
Value Proposition	The key differentiation of your product or service; the reason why consumers would buy your product instead of a competitor
Metrics	Key performance indicators that track the success of your marketing efforts

Goals and Objectives

Marketing goals or objectives are determined based on the business context and the challenges and opportunities that a brand faces.

The customer journey is often represented by a visual schematic known as the **marketing funnel**. Which stage of the funnel you focus on and how you allocate your budget across different stages depends on the specific context of your brand and its strategy.



Awareness

The first stage at the top of the funnel is consumer awareness of your brand. Companies often measure awareness in two different ways. **Unaided awareness** measures whether consumers mention your brand in a product category without any prompting. **Aided awareness** measures whether consumers recognize your brand when prompted. Some common brand awareness objectives include increasing the number of impressions on ads or the number of views on social media posts.

Consideration

Consumers who are aware of your brand consider and evaluate it against the competition. Common objectives at this stage might include increasing website traffic, number of store visits, or number of test drives for a car. Optimizing channels such as a company's website, Facebook, or Instagram may be appropriate to engage consumers at this point.

Conversion

Conversion refers to the moment when engaged consumers are converted into buyers. Objectives at the bottom of the funnel are centered around getting consumers over the final hurdle to buy, thereby increasing sales and revenue for the company.

Target Audience

Companies often put customers into different groups, or **segments**, to help target them more effectively.

Segmentation

Consumers have different needs and preferences. What appeals to one group of consumers may not appeal to another group. If you try to appeal to everyone, you may end up appealing to no one. This is where **segmentation** can help. Segmentation is the process of grouping consumers with similar needs and preferences. These groups are referred to as "segments." Recognizing these segments will help you focus your marketing plan.

- Segmentation benefits consumers because companies can tailor their products to a group of consumers with similar needs.
- Firms benefit from segmentation because it helps them identify underserved consumers and their unfulfilled needs. Segmentation also benefits firms because it can result in better product design, more targeted promotions, and increased customer satisfaction.

Dividing the Market into Segments

Companies use different ways to divide the market into different segments, but we can boil those down to three main approaches: **who, what,** and **why** aspects of consumers. Most companies use multiple ways to segment markets that combine these three approaches.

- The first approach is based on **who the customers are** by looking at demographic data such as age, income, gender, occupation, where they live, lifestyle, or interests. This approach is the most common way to segment consumers. The assumption is that consumers in the same demographic will have similar preferences.
- The second approach focuses on **what the customers have done.** In other words, segment the market based on customer behavior related to your product.
- The third approach focuses on the motivation of consumers to understand **why they buy a certain product.** For example, are they looking for convenience and value, or are they status conscious?

Value Proposition

- If you want to convince consumers to buy your product, you need to give them a compelling reason to purchase your brand instead of a competing brand. This argument to persuade the consumer is your brand's **value proposition.**
- Value proposition is the unique value or benefits that your product or service provides to a customer and that distinguishes you from the competition.
- Determining and articulating the value proposition for your brand is the third critical component of your marketing plan. This step will guide the message you create for your target audience. Value proposition determines how consumers think of your brand compared to the competition. It is your brand's position in the minds of consumers.

Write a Positioning Statement

A simple way to articulate your value proposition is to write a **positioning statement**, including:

1) defining your target audience whose needs you aim to serve,
2) articulating the unique value you provide to consumers,

3) defining the competitive set for your brand to help consumers establish a frame of reference for their purchase decisions, and
4) providing consumers reasons to believe your brand's claim with supporting evidence.

The Three Cs of Brand Positioning and Consumer Analysis

Use the "Three Cs of Brand Positioning" to analyze the validity and potency of a **value claim**. This method is an analysis of your consumers, your competition, and your company. As you work to create a value proposition, remember, a brand's position is not just defined by the brand itself. A brand co-creates its position with its consumers as they interact with each other and react to emerging cultural trends.

- **Consumer Analysis:** Ask what "job" your product is doing for the consumer, and consider the three Rs. Is your claim **relevant** to consumers? Does it **resonate** with their needs? Is it a **realistic** solution to those needs?
- **Competitive Analysis:** To create an effective value proposition, you need to be able to explain how your product or service is different (and superior) to competitors. Consider the Three Ds: Is your value claim **distinctive, defensible,** and **durable**?
- **Company Analysis**: Consider the Three Fs: Is your value proposition **feasible, favorable,** and **faithful** to the company? For a claim to be feasible, it must be something the company can deliver to its consumers. For a value claim to be favorable, it must be viewed positively by its consumers and generate positive returns for the company. Finally, a company must be faithful to its value claim.

Metrics

To ensure that your marketing campaign is effective, you need to have the right metrics to measure performance. Some common metrics include:

Impressions: the number of times an ad was displayed

Clicks: number of clicks on an ad

CPM: Cost per *mille* (cost per thousand) impressions measures the efficiency of impressions.

CTR: Click-through rate is the ratio of clicks to impressions.

CPC: Cost per click measures what it costs the company for each click on its ad.

Conversion rate: measures the ratio of consumers who bought a product after clicking on the ad.

CPO: Cost per order measures the marketing dollars spent to get an order.

CAC: Customer acquisition cost measures the amount of money it takes to acquire each new customer.

ROAS: Return on ad spend refers to the revenue generated for each dollar spent on ads.

ROI: Return on investment measures the profit, not revenue, from each additional marketing dollar.

LTV: Lifetime value of a customer measures the money that a company earns from a customer over a long period of time.

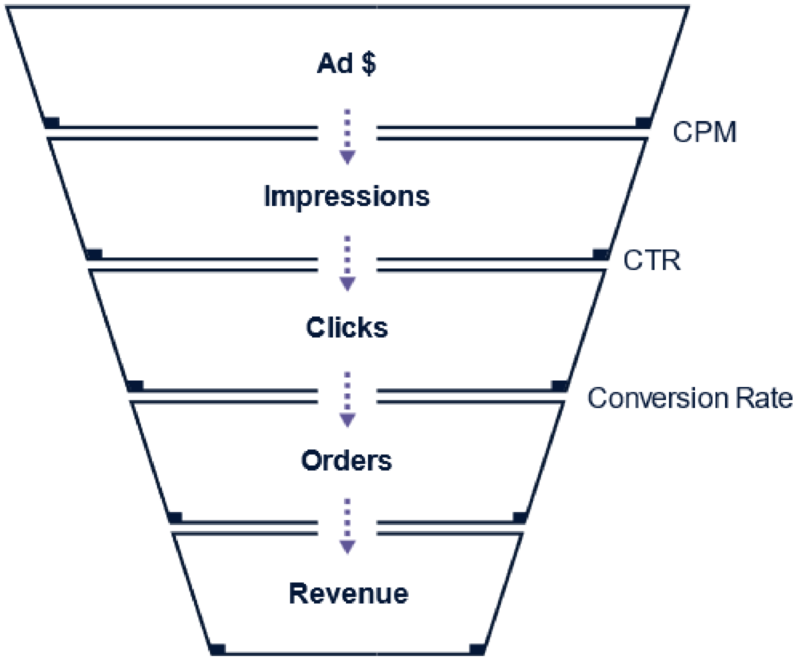
Metrics and the Marketing Funnel

Strategically align your metrics to support your overall marketing plan.

Marketing Funnel Focus	Metric	Description
Awareness	Impressions	Number of times an ad was displayed
	Cost per mille (CPM)	Cost per thousand impressions
Consideration	Clicks	Number of times your ad was clicked by users who may want to either buy your product or learn more about it
	Click-through Rate (CTR)	The ratio of clicks to impressions
	Cost per Click (CPC)	What it cost the company to get a click on its ad
Conversion	Return on Ad Spend (ROAS)	Revenue generated from each dollar spent
	Return on Investment (ROI)	The return (profit) on each dollar spent
	Conversion Rate	The ratio of consumers who bought product after clicking on the ad
	Cost per Order (CPO)	The marketing dollars spent to get an order
	Customer Acquisition Cost (CAC)	Cost of acquiring a customer
	Customer Lifetime Value	The money that the firm earns from a customer over a long period of time

Measuring Intermediate Metrics

It is not enough to measure the outcome (i.e., sales). You also need to understand where consumers might be getting stuck on the way to conversion—essentially, bottlenecks in the marketing funnel. As you understand these bottlenecks, you will be able to adjust your plan to make it more effective.



If you find that your marketing plan is not meeting revenue goals, tracking metrics throughout the stages of the marketing funnel can provide insights into the problem and offer potential solutions.